

Multiple Choice (10 marks)

1. Compare the costs of a \$5,000 20-year endowment policy with a \$5,000 20-year limited payment policy if each were to be purchased at age 45.
 - (a) \$182.45
 - (b) \$125.75
 - (c) \$233.35
 - (d) \$300.20
 - (e) \$160.65
2. Mr. Burke purchased three $5\frac{1}{4}\%$ bonds with par values of \$1,000 each, and interest paid semiannually. How much interest will he receive?
 - (a) \$131.25
 - (b) \$52.50
 - (c) \$31.88
 - (d) \$78.75
 - (e) \$125
3. Which of the following are aimed at providing customers with the peace of mind of knowing that the company they are purchasing from is competitive in price?
 - (a) Price comparison tools.
 - (b) Price negotiation strategies.
 - (c) Price competitiveness.
 - (d) Price discrimination.
 - (e) Price adjustment policies.
4. Mr. Jackson has borrowed \$150 from his bank. The loan must be paid in 90 days and has an interest rate of 6%. Find the amount due at the end of the 90 days.
 - (a) \$150.90
 - (b) \$161.25
 - (c) \$155
 - (d) \$148.75
 - (e) \$160
5. Once referred to as a multibrand policy, this branding strategy requires that each product offered by an organization is branded independently of all the others. This is known as:

- (a) Multi-product branding.
- (b) Sub-branding.
- (c) Mixed branding.
- (d) Family branding.
- (e) Corporate brands.

True / False (10 marks)

Answer True or False

- 6. True or False: The list price of the dinette tables is \$175.20, resulting in a net price of \$153.30 after trade discounts.
- 7. True or False: The 7(1/2) ounce can of tuna fish is the better buy, offering a lower cost per ounce.
- 8. True or False: Weather conditions are commonly regarded as one of the six dimensions of the external environment.
- 9. True or False: The cost per thousand for a single ad in Punk Magazine, with a circulation of 2,000, is \$100.
- 10. True or False: The present value of three end-of-year payments of \$1000 each at a 7% return is \$2643.26.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the concept of present value in finance. Calculate the present value of a cash flow of \$100 to be received in 5 years with a discount rate of 5%, and analyze the implications of your findings.
- 12. Calculate the premium for a \$60,000 insurance policy at a rate of \$0.2065 per \$100, and discuss the insurance company's payout for a \$61,000 loss, including your rationale.

End of Paper